

What Can Money Buy?

Inequality and Fiscal Policy Implications of Citizens United v. Federal Election Commission

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Session: Recent laws and their inequality implications

Presented by the discussant: **Max Ghenis** (PolicyEngine)

Author response: Philippe Van Kerm

Does money in politics change actual policy?

The political effects of Citizens United are documented; the policy effects are not

In the last presidential election, the 100 largest donors gave **\$2.4 billion** (OpenSecrets).

Citizens United v. FEC (January 2010) and **SpeechNow.org v. FEC** (March 2010) removed limits on independent political spending by corporations, unions, and individuals.

A decade of research finds **political** effects: higher Republican vote shares, more conservative state legislatures (Abdul-Razzak et al. 2020; Klumpp et al. 2016; Harvey & Mattia 2022).

"What this implies for policy decisions, however, is unclear. Most research to date has found no impact on actual policy."

This paper supplies the missing link: from campaign finance deregulation to tax schedules to inequality.

Sixty years of limits, undone in two rulings

US campaign finance regulation, 1947–2022 (paper Figure 1)

A vertical timeline illustrating the evolution of US campaign finance regulation. The timeline is represented by a vertical line with circular markers at each event. The markers are grey for most events, but green for 'Citizens United v. FEC' and 'SpeechNow.org v. FEC'. The text to the right of each marker describes the event and its impact.

1947	●	Taft–Hartley Act	Union contributions banned
1971–75	●	FECA + FEC created	Contribution and spending limits
1976	●	Buckley v. Valeo	Spending is speech; contribution limits stand
1990	●	Austin v. Michigan	States may limit corporate independent expenditures
2002	●	BCRA (McCain–Feingold)	Soft money and electioneering restricted
Jan 2010	●	Citizens United v. FEC	Corporate and union outside spending unlimited; state bans invalidated
Mar 2010	●	SpeechNow.org v. FEC	Unlimited contributions to independent-expenditure groups: Super PACs
2014	●	McCutcheon v. FEC	Aggregate contribution limits struck down
2022	●	FEC v. Ted Cruz	Post-election contribution limits struck down

The natural experiment: 23 states had their own bans

Citizens United erased all of them within months — differentially

Corporate *and* union ban — 13 states in sample

AK, AZ, MI, NH, NC, ND, OH, OK, PA, RI, TX, WI, WY

Corporate ban only — 8 states

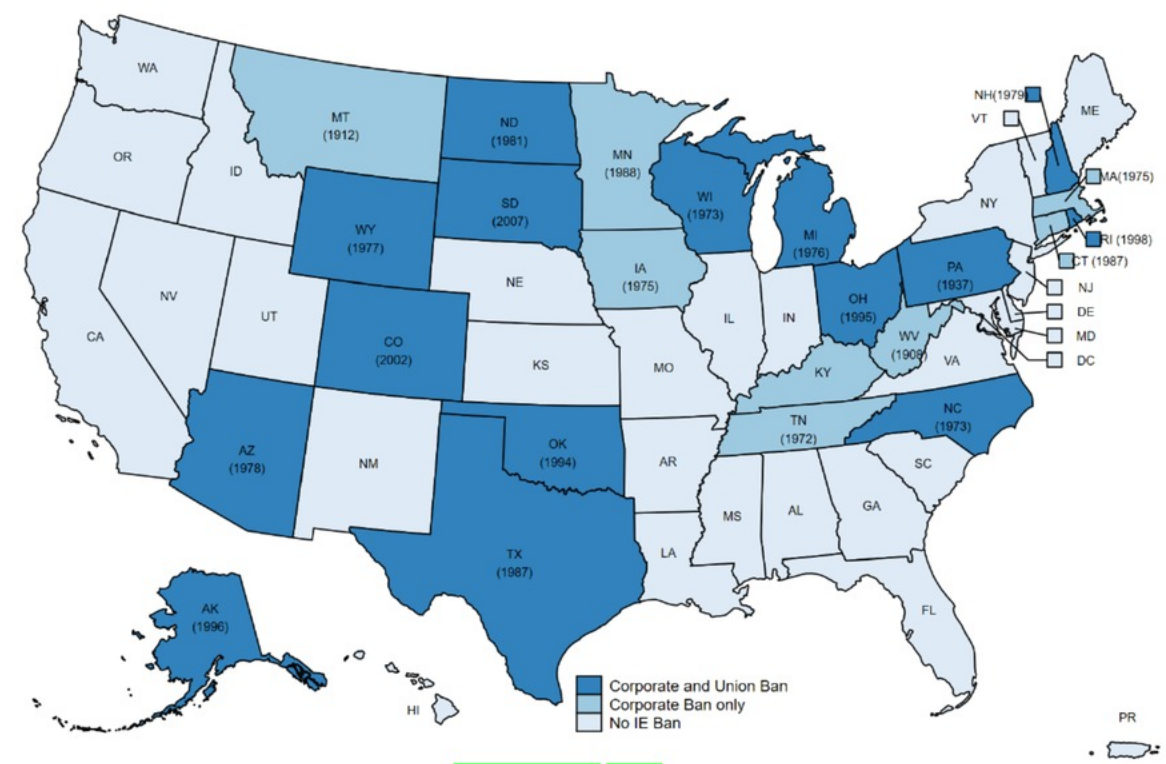
CT, IA, KY, MA, MN, MT, TN, WV

No ban — controls

The remaining states never restricted independent expenditures

All bans revised to comply by **November 2010**: a sharp, court-imposed, differential deregulation. CO and SD (bans adopted only in 2002 and 2007) are excluded.

Figure 2: State Campaign Regulations before Citizens United



Notes: The map has been reproduced from Klumpp et al. 2016. Years in parentheses indicate the years of introduction of the funding restrictions.

What followed: an explosion of outside spending

Outside spending by recipient party, \$ millions (paper Table 1; OpenSecrets)

	2004	2024	Growth
For Democrats	60	1,062	×18
For Republicans	23	763	×33
Against Democrats	4	1,411	×353
Against Republicans	7	923	×132

Negative spending grew fastest — money spent *against* Democrats rose 353-fold over twenty years.

And it went dark: the share of Super PAC spending with **full donor disclosure** fell from 77% (2010) to 33% (2024) (paper Table 3).

This paper

From vote shares to tax schedules to inequality

RESEARCH QUESTION

Did lifting bans on independent political expenditures change the size and progressivity of state income taxes — and post-tax income inequality?

Closest prior work (Slattery, Tazhitdinova & Robinson 2023, *J. Public Economics*) studies statutory rates and aggregate revenues — the tax system *in the books*.

This paper measures the tax system **as households experience it**: average rates by income and wealth group, and the redistribution the schedule actually delivers.

Preview: where states had banned **both corporate and union** spending, top-group tax rates and redistribution fell after the ruling. Where only corporations had been banned, they did not.

Measurement: 900 simulated tax systems, one fixed population

SCF microdata through NBER TAXSIM — only the law varies

Survey of Consumer Finances 2011 (LWS-harmonized): the household survey that oversamples the wealthy — credible top-5% and top-1% incomes *and net worth*.

NBER TAXSIM: federal and state income tax law for all 50 states, 2004–2021.

The same households are run through **every state-year schedule** (incomes CPI-deflated to each year):

50 states × 18 years = 900 datasets

Why this is clean

With the population held fixed, no composition change, migration, or behavioral response contaminates the measure. What moves is **tax legislation itself** — a pure *de jure* policy panel.

Main text: state taxes assessed on pre-federal income (AGI).
Appendix D repeats everything on after-federal-tax income — results are larger and sharper there.

Summarizing schedules, not statutory parameters

Top marginal rates miss deductions, exemptions, and the base — these indicators capture the whole shape

Indicator	Definition	Captures
Average tax rate (ATR)	Total state income tax over total pre-tax income	Size of the tax
ATR, top 5% and top 1%	By income — and, using SCF strengths, by net worth	Burden at the top
Progressivity (β)	ATR of top 20% minus ATR of bottom 20%	Shape of the schedule
Reynolds–Smolensky index	Gini(pre-tax) – Gini(post-tax)	Redistribution delivered

Each indicator Φ is evaluated on the fixed household sample for every state-year law — turning 900 simulated tax systems into a 900-cell panel of schedule characteristics.

Identification: three complementary designs

46 states, 2004–2021 · treated = pre-2010 ban states · controls = never banned

$$\text{Outcome}_{st} = \beta_1(\text{CU}_t \times \text{CorpBan}_s) + \beta_2(\text{CU}_t \times \text{CorpUnionBan}_s) + \gamma_s + \delta_t + \varepsilon_{st}$$

Two-way fixed effects

Separate treatment effects by pre-existing ban type — the paper’s key refinement over pooled designs.

Event studies

Leads and lags around 2010 (2009 omitted): pre-trend tests plus the time path of effects.

Synthetic DiD

Arkhangelsky et al. (2021) reweighting, group-level and state-by-state ATETs; plus a Wooldridge (2025) TWFE check.

Exclusions: CO and SD (bans adopted only in 2002 and 2007), NE (nonpartisan unicameral legislature), LA (nonpartisan blanket primaries). Standard errors clustered by state; coefficients ×100 (percentage points).

First stage confirmed: legislatures moved right

Replicates Abdul-Razzak et al. (2020) and extends it through the 2022 elections (paper Appendix A)

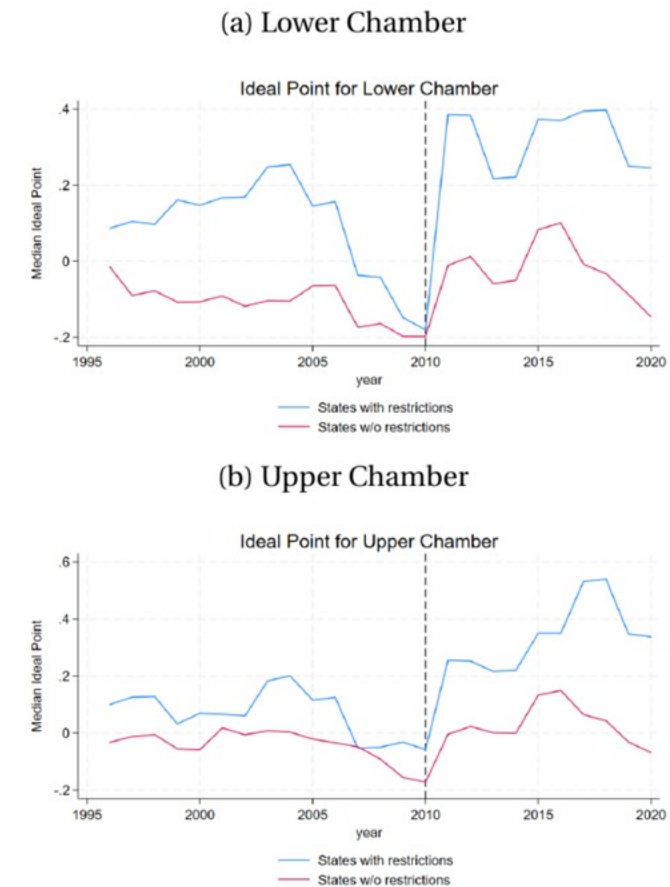
Republican vote share: $\approx +4\text{--}5\text{pp}$ in ban states after 2010, both chambers (significant with trend controls).

Median legislator ideology (Shor–McCarty): $+0.20$ to $+0.41$ toward conservative.

Party control: Democratic legislative control -21pp^{**} ; Republican trifectas $+15\text{pp}^*$.

Majority parties became more extreme; minority parties moderated. Polarization itself moved little.

Figure A–3: Trends in the Median Ideology by Chamber



Main result: top rates and redistribution fell — only where both bans fell

DiD estimates × 100 (percentage points), state income taxes, 2004–2021 (paper Table 4)

Citizens United ×	ATR	Top 5%	Top 1%	Top 5% (wealth)	Top 1% (wealth)	Reynolds–Smolensky
Corporate ban only	0.01	0.14	0.30	0.07	0.10	0.07
Corporate & union ban	−0.01	−0.33	−0.53**	−0.25	−0.36*	−0.11**
Difference (both – corp. only)	−0.02	−0.47**	−0.83**	−0.32*	−0.46*	−0.18**

Concentrated at the top. The overall ATR barely moves; top-1% rates fall 0.53pp.

Asymmetric. Corporate-only-ban states drift (insignificantly) the other way.

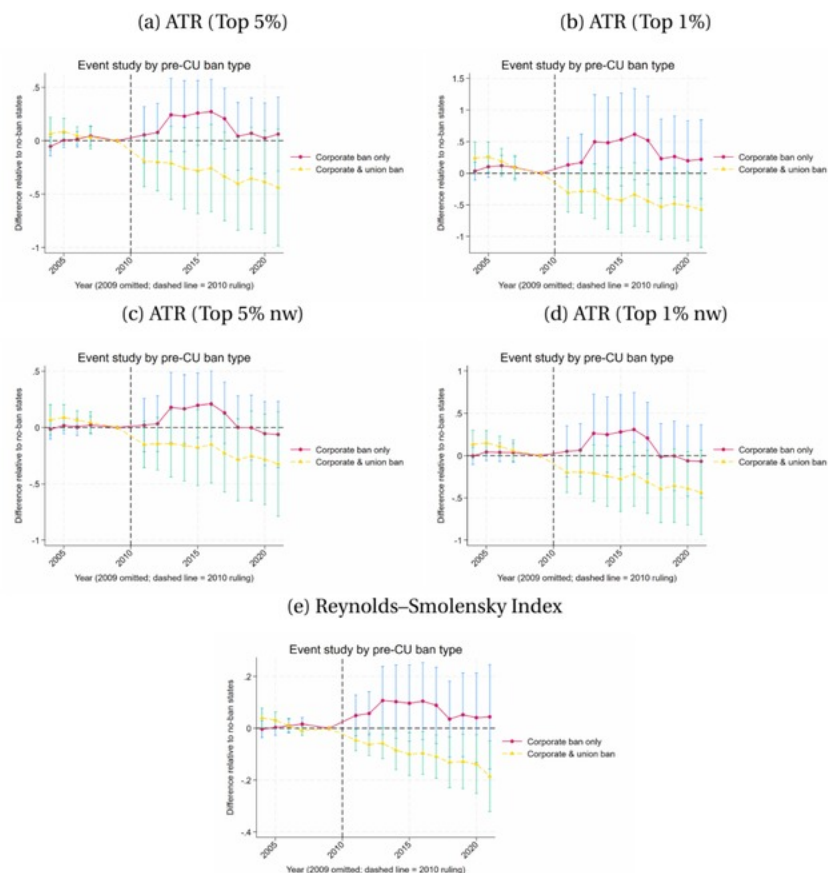
Redistribution falls. Reynolds–Smolensky drops where both bans lifted.

N = 846; SEs clustered by state; * p<0.10, ** p<0.05.

No pre-trends; gradual divergence after 2010

Event studies by pre-existing ban type (paper Figure 3) — joint pre-trend tests pass for every outcome

Figure 3: Event Study Graphs for State-Level Taxes by Ban Type (State Taxes only)



Notes: Each panel reports coefficients from an event-study regression that interacts treatment status by ban type with year-relative-to-2010 indicators, using 2009 as the omitted category. State and year fixed effects are included.

Corporate-and-union-ban states (yellow) drift steadily down; the gap builds over a decade rather than jumping.

Post-2010 coefficients jointly significant for that group: top 1% $p = 0.025$, Reynolds-Smolensky $p = 0.049$ (paper Table 5).

Ban-type differences jointly significant for every outcome except the overall ATR.

The same answer under stress

Alternative estimators, samples, and income concepts

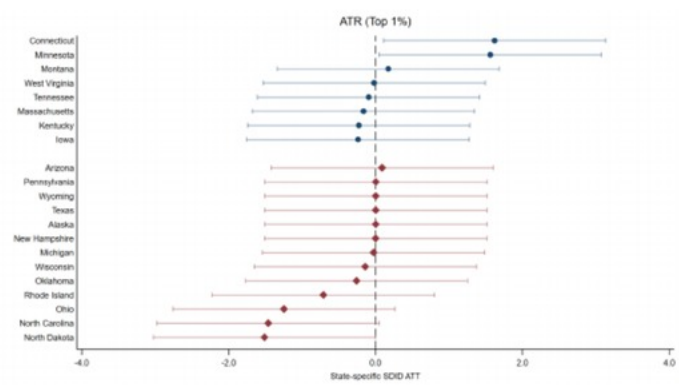
Synthetic DiD	Same signs; ban-type differences hold (top 1% -0.72*, RS -0.13*)
Wooldridge (2025) TWFE	Nearly identical to baseline (top 1% -0.53**, RS -0.11**)
Leave-one-out	No single treated state drives either group
Drop 8 no-income-tax states	Effects grow (difference: top 1% -1.13***, RS -0.20**) — baseline is a lower bound
After-federal-tax income (App. D)	Larger and sharper (top 1% -0.93***; difference -1.27***, RS -0.24***)

The honest caveat: adding state-specific linear trends attenuates the corporate-and-union effects toward zero. The authors treat trends as a robustness check, since they can absorb genuinely gradual treatment effects — exactly the dynamics the event studies show.

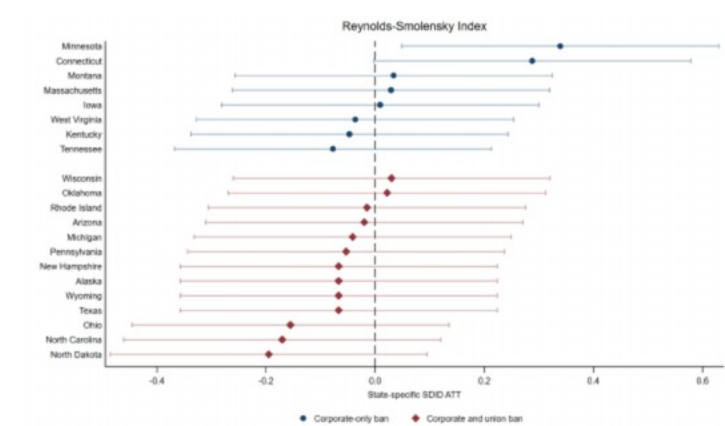
Where the effect lives

State-by-state synthetic DiD effects (paper Figure 5): top-1% ATR and Reynolds–Smolensky

(b) ATR (Top 1%)



(e) Reynolds–Smolensky Index



Connecticut and Minnesota pull the corporate-only group positive — states mostly under Democratic or divided government.

North Carolina, North Dakota, Ohio anchor the negative end — Republican-controlled after 2010.

The authors say it plainly: “most of our results are driven by few outlying states” — though leave-one-out shows no *single* state is decisive.

Channels: politics predicts taxes — with a residual

Political outcomes as transmission mechanisms (paper Tables 7, 8, C-2)

Political composition moves tax outcomes

Republican Senate vote share → redistribution down (RS -0.14^*). More conservative median ideology → top-1% ATR -0.29^{**} . Democratic trifectas and governors → higher top rates and more redistribution; Republican control → the reverse.

...but does not fully explain the ruling's effect

Residualize each tax outcome on vote share, ideology, or polarization, then re-run the DiD: corporate-and-union effects persist (top 1% $\approx -0.5\text{pp}$, RS ≈ -0.1 , still significant).

Reading: electoral composition carries part of the effect. The remainder points to influence that does not show up in seat counts — **lobbying, donor pressure, agenda-setting**.

Why the asymmetry? The union counterweight

Union density by pre-existing ban type (paper Figure 6)

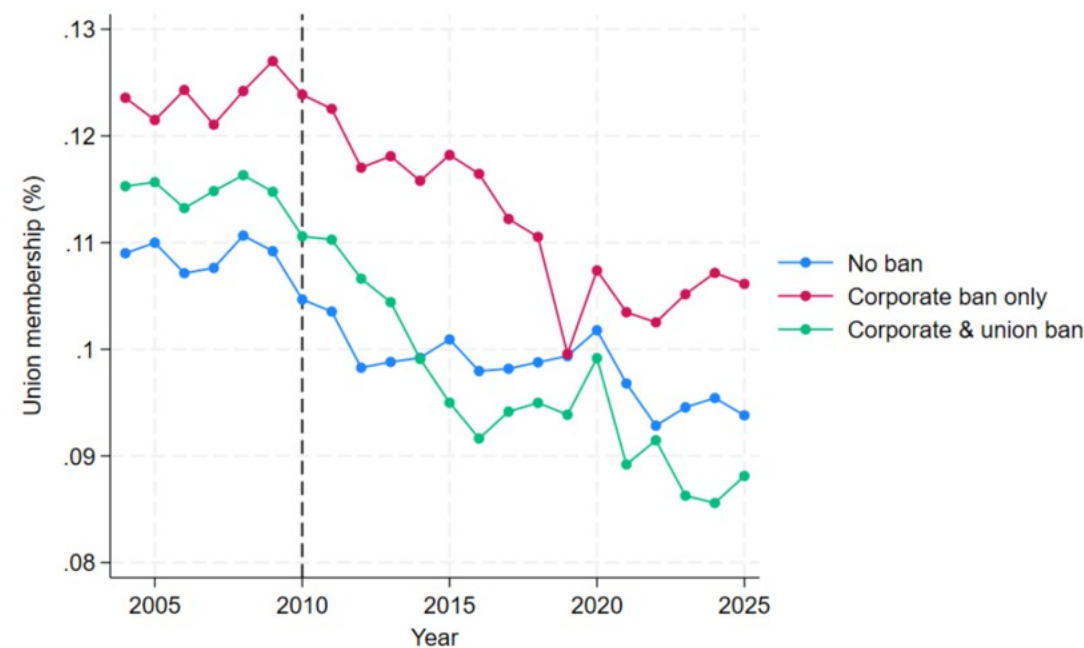
Unions send $\approx 87\%$ of their contributions to Democrats; corporate money leans Republican (2023–24 cycle, OpenSecrets).

Corporate-only-ban states: unions could already spend — and are strongest there. New corporate money met an existing counterweight, so competition stayed roughly balanced.

Corporate-and-union-ban states: historically Republican-leaning, weaker unions. Lifting both bans favored the side with deeper pockets — the regressive tilt.

In the authors' words: the ruling “amplified pre-existing asymmetries in political influence.”

Figure 6: Union Density by Ban Type

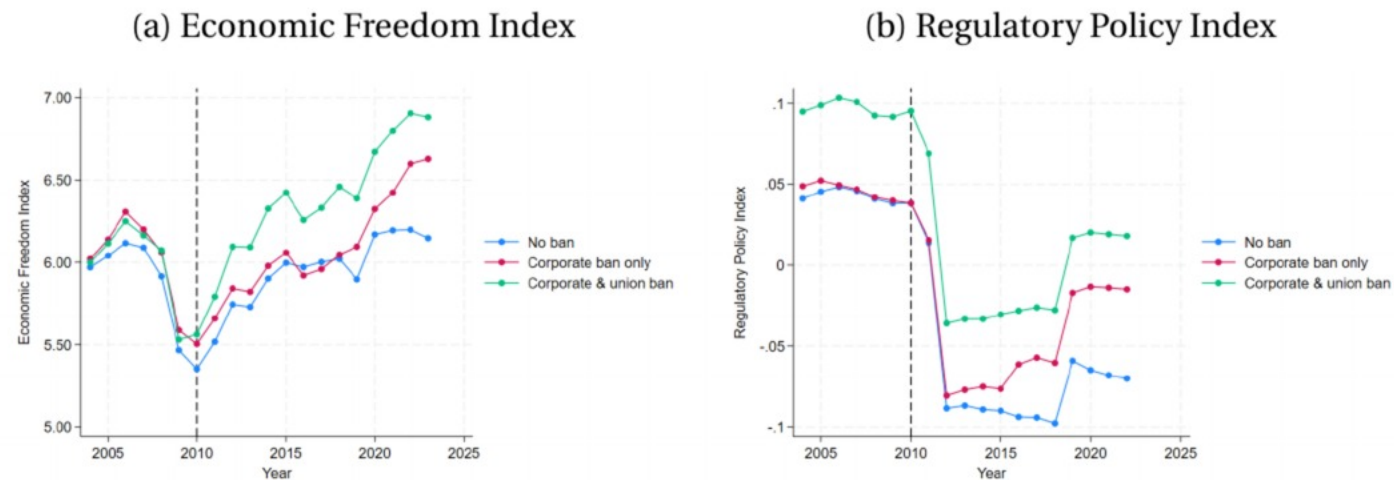


Notes: The figure reports average union membership rates, defined as the percentage of employed workers who are union members, computed at the state-year level (Hirsch et al. 2026) and grouped by pre-existing campaign finance regimes across all sectors.

Part of a broader market-oriented drift

Economic freedom (Fraser) and regulatory policy (Cato) indices by ban type (paper Figure 7)

Figure 7: Business Friendly Environment Indicators



After 2010, both indices rise most in the states that had banned both corporate and union spending — descriptive, but consistent with the tax findings: a policy environment tilting toward business interests, not just a one-off rate cut.

The authors' conclusions

Citizens United changed not only who legislates, but what they legislate

1. Where both corporate and union bans fell, state income taxes became **persistently less progressive**: lower top-group rates, less redistribution, higher post-tax inequality.
2. Effects unfolded **gradually** — policy responds over a decade, not an election cycle.
3. Transmission runs partly through **electoral composition**, partly through influence beyond it.

"Wealthy individuals and corporations can influence policy agendas by financing campaigns and supporting organizations that promote market-oriented and conservative ideologies, resulting in fiscal policies that disproportionately favor their interests ('wingnut welfare')."

Discussion

Four comments and some minor notes — from a tax-microsimulation seat

1 • The measurement design deserves top billing

The fixed-population simulated-schedule panel is the paper's most exportable idea

Simulating every state-year law on one fixed sample is the right way to build a **de jure policy panel**: it strips out composition, migration, and behavior by construction. Name the method, give it a figure, and readers will reuse it well beyond campaign finance.

The flip side to state clearly

Each Φ^{st} characterizes state s 's law applied to a **common national population**. The "top 1%" being taxed is the national top 1% — not Ohio's. That is the right object for isolating legislation, but it is not the state's realized tax structure.

Suggestion: pair the de jure panel with a *de facto* companion — realized state ATRs from IRS SOI, or state-representative microdata (CPS/ACS) through TAXSIM — to show the legislated regressivity materialized, and price it in dollars.

2 · Which fiscal margins can respond?

The outcome is the state personal income tax — one lever among several

A legislature tilting right can also move **sales and excise composition** (regressive), **corporate rates** (Slattery et al. find moderate effects), **state EITC/CTC add-ons**, and the **spending side** — benefit generosity.

A clarifying question

Eq. (1) defines Φ over taxes *and* benefit entitlements B — am I right that B is unpopulated here, since TAXSIM covers income taxes? Worth stating either way.

Why it matters

If other margins shifted the same way, income-tax RS *understates* the total regressive turn; if states substituted across instruments, it could overstate it.

Suggestion: a “total fiscal incidence” extension — LIS/LWS harmonization plus state benefit rules — would raise the stakes of the finding for this audience.

3 · Inference with 8 + 13 treated states

And a way to make the union mechanism do identification work

Two treated clusters of 8 and 13 states, six correlated outcomes: **wild-cluster bootstrap or randomization inference** on the triple-difference would firm up the stars, alongside the SDID placebo inference already reported.

Ban type is not random: **the corporate-and-union group is disproportionately Republican-controlled** (Fig. C-1), and the post-2010 decade is crowded — ACA surtaxes, ATRA, TCJA, state fiscal recoveries. State trends attenuate the effects; say plainly which specification you believe, and why.

The test I would most like to see: interact Citizens United with **pre-2010 union density** as a continuous moderator. If the counterweight story is right, effects should scale with density *within* ban groups — turning Figure 6 from description into identification.

4 · Magnitudes, in policy units

The proportions are the headline — say them in the text

≈ 1/7

−0.53pp on a top-1% state ATR of ≈ 3.5–5%
(treated-state levels, Figs. C-9/C-10) — roughly a
seventh of the top-1% state income-tax burden.

≈ 1/4

−0.11 against a Reynolds–Smolensky baseline of ≈
0.4–0.5 (×100) — about a quarter of the
redistribution these taxes deliver.

State income taxes redistribute little to begin with — which is itself worth one sentence. Dollarizing one number (per top-1% household, or as a share of state revenue) would make the result legible far beyond this room.

Minor notes

N = 846 = 47 × 18, but the text says 46 states — is DC in the panel? · State which income concept (pre- vs post-federal) headline numbers use · “353-fold” rides on a \$4M base; report levels too · NH has no compliance date (Table 2) and no broad income tax — worth one footnote where it enters treatment.

Questions to open the floor

Federal analogue. There is no US-without-Citizens-United counterfactual at the federal level. Do these state results bound what happened in Congress?

The 2021–2023 tax-cut wave. Many corporate-and-union-ban states cut income taxes after the sample ends in 2021. Does extending the panel sharpen the effect?

Direct democracy. Does the legislature channel weaken in initiative and referendum states?

Thank you — and over to **Philippe Van Kerm**

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